Internal Risk Grading and Pricing Grid

ASHVA CAPITAL FINANCIAL TECHNOLOGIES INC.
GLOBAL CREDIT POLICY MANUAL
DOCUMENT ID: POL-CR-2024-V3
SECTION 4: RISK GRADING METHODOLOGY & FACILITY PRICING MATRIX
EFFECTIVE DATE: OCTOBER 1, 2024
POLICY OWNER: OFFICE OF THE CHIEF CREDIT OFFICER

4.1 SCOPE AND ARCHITECTURE

4.1.1 Eight-Tier Risk Scale Ashva Capital enforces a mandatory eight-tier risk grading scale for all commercial credit facilities, designated as A1, A2, B1, B2, C1, C2, D1, and D2. Every applicant and existing borrower must be assigned exactly one risk grade prior to credit commitment or renewal.

4.1.2 Quantitative Scoring Engine Risk grades are generated by the Ashva Automated Scoring Engine (AASE v4.2) using the financial metrics defined in Clause 4.2. All financial inputs must be calculated using 12-month trailing audited financial statements or verified bank data ingested via the Ashva Open Banking API.

4.2 QUANTITATIVE RISK GRADE CRITERIA

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| Grade | 1-Year PD Range | Minimum DSCR | Maximum Leverage | Minimum Bureau |
| | | (Debt Service) | (Total Debt/EBITDA)| Score (Ashva-Score) |
+-------+------------------+----------------+-------------------+--------------------+
| A1 | 0.00% – 0.25% | ≥ 2.00x | ≤ 1.50x | ≥ 820 |
| A2 | 0.26% – 0.60% | ≥ 1.75x | ≤ 2.25x | 770 – 819 |
| B1 | 0.61% – 1.25% | ≥ 1.50x | ≤ 3.00x | 720 – 769 |
| B2 | 1.26% – 2.50% | ≥ 1.35x | ≤ 3.75x | 670 – 719 |
| C1 | 2.51% – 4.50% | ≥ 1.20x | ≤ 4.50x | 620 – 669 |
| C2 | 4.51% – 7.50% | ≥ 1.10x | ≤ 5.25x | 570 – 619 |
| D1 | 7.51% – 12.00% | ≥ 1.00x | ≤ 6.00x | 520 – 569 |
| D2 | 12.01% – 20.00% | < 1.00x | > 6.00x | < 520 |
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4.2.1 Metric Definitions * Probability of Default (PD): The 12-month forward-looking default probability calibrated against Ashva Capital's historical portfolio defaults and macro-economic factors. * Debt Service Coverage Ratio (DSCR): Calculated as $\frac{\text{EBITDA} - \text{Unfunded Capital Expenditures} - \text{Cash Taxes}}{\text{Principal} + \text{Interest Due (12-Month Forward)}}$. * Leverage Ratio: Total Senior Funded Debt divided by Annualized EBITDA. * Ashva-Score: Blended commercial credit bureau score incorporating Experian Intelliscore Plus v3 and proprietary transaction velocity signals.

4.2.2 Override Mechanics If a borrower meets the PD requirement for a given grade but fails the minimum DSCR or maximum Leverage threshold, the borrower must be downgraded to the lowest grade corresponding to any single failed metric.

4.3 FACILITY TERMS MATRIX

All approved credit facilities must comply with the maximum tenor, indicative interest rate spread (over the Ashva Base Rate, currently set at 5.25%), and minimum collateral coverage thresholds defined below.

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| Grade | Indicative Spread (bps) | Maximum Tenor Permitted| Collateral Coverage Required|
| | Over Ashva Base Rate | | (% of Total Facility) |
+-------+-------------------------+----------------------+----------------------------+
| A1 | +150 bps (1.50%) | 84 Months | 0% (Unsecured permitted) |
| A2 | +225 bps (2.25%) | 72 Months | 50% |
| B1 | +325 bps (3.25%) | 60 Months | 75% |
| B2 | +450 bps (4.50%) | 48 Months | 100% |
| C1 | +600 bps (6.00%) | 36 Months | 110% |
| C2 | +800 bps (8.00%) | 24 Months | 125% |
| D1 | +1100 bps (11.00%) | 18 Months | 140% |
| D2 | +1500 bps (15.00%) | 12 Months | 150% |
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4.3.1 Collateral Valuation Standard Collateral coverage is calculated based on the Discounted Liquidation Value (DLV) of pledged assets, evaluated under the following advance rates: * Cash and Cash Equivalents: 100% * Tier-1 Accounts Receivable (<30 Days Overdue): 80% * Commercial Real Estate (First Lien): 70% * Equipment and Machinery: 50% * Inventory: 30%

4.4 AUTOMATED DECISIONING AND APPROVAL GOVERNANCE

4.4.1 Auto-Approval Eligibility Automated decisioning and instant disbursement via AASE v4.2 are strictly limited to risk grades A1, A2, B1, B2, and C1, subject to a maximum aggregate facility exposure of $250,000 USD per borrower group.

4.4.2 Hard Prohibition on Auto-Approval (Grades C2, D1, D2) Rule 4.4.2.1: Facilities assigned a risk grade of C2, D1, or D2 may not be auto-approved under any circumstances or at any loan amount.

* Any application scoring C2 or lower must trigger an immediate automated hard stop within AASE v4.2 and be routed directly to the Manual Underwriting Queue.
* This prohibition applies regardless of whether the facility is $1,000 USD or $5,000,000 USD, and applies equally to line increases, term loans, and working capital drawdowns.

4.4.3 Manual Underwriting Approval Escalation Hierarchy Facilities routed for manual underwriting must obtain written sign-off according to the following approval thresholds:

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| Grade | Facility Limit | Required Approval Level |
+-------+--------------------+-------------------------------------------------------------+
| C2 | ≤ $500,000 USD | Senior Underwriter (Level II) |
| C2 | > $500,000 USD | Regional Credit Officer (RCO) |
| D1 | ≤ $250,000 USD | Regional Credit Officer (RCO) |
| D1 | > $250,000 USD | Chief Credit Officer (Marcus Vance) |
| D2 | Any Amount | Credit Policy Committee (Requires unanimous sign-off from |
| | | CCO Marcus Vance, CRO Elena Rostova, and CEO Aris Thorne) |
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4.5 EXCEPTIONS POLICY

4.5.1 Grade Overrides An underwriter may upgrade a calculated risk grade by a maximum of one notch (e.g., C2 to C1) only if the borrower provides unconditional third-party guarantees from an entity rated A2 or higher, or deposits cash collateral equivalent to 100% of the facility amount into a blocked Ashva Capital control account.

4.5.2 Reporting All policy exceptions and manual grade overrides executed under Clause 4.5.1 must be logged in the Monthly Credit Exception Register and reported directly to the Audit and Risk Committee of the Board of Directors within 5 business days of month-end close.